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Enhancing cross-border payments:
state of play and way forward

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Enhancing cross-border payments: state of play and way forward

Key takeaways

- *The G20 Roadmap for enhancing cross-border payments has created significant momentum. Most international policy actions are completed, providing a solid foundation for addressing persistent cross-border payment challenges and fostering a more inclusive global payments ecosystem.*
- *However, it is unlikely that the end-2027 targets envisaged by the G20 will be achieved on time, and improvements in outcomes for end users have so far been modest.*
- *Timely and consistent implementation of the Roadmap priorities, both within and beyond G20 jurisdictions, is essential to achieve the Roadmap's goals and must be accompanied by robust public-private collaboration.*

The G20 launched the Roadmap for enhancing cross-border payments in 2020 with the goal of making cross-border payments cheaper, faster, more inclusive and more transparent (FSB (2020)). The economic and financial inclusion benefits of improved cross-border payments are well documented. They include the facilitation of international trade and e-commerce as well as wider access to payment services. Efficient cross-border payments, built on robust technology and consistent regulatory frameworks, help to safeguard monetary and financial stability. Inefficient cross-border payments can contribute to a fragmented global financial system, reducing its ability to absorb shocks and support sustainable growth.

The G20 tasked international bodies with delivering an ambitious set of initiatives, aimed at driving improvements in wholesale, retail and remittance payments. To track progress and assess effectiveness, the G20 endorsed a series of ambitious quantitative targets, measured by key performance indicators (KPIs), with most set for achievement by the end of 2027 (FSB (2021)). International bodies have completed most policy actions assigned to them. Yet jurisdictions' implementation of the Roadmap's policy recommendations has been uneven, and improvements in end user outcomes remain limited.

It is unlikely that the G20's quantitative targets will be met by end-2027. However, with timely and consistent jurisdictional implementation of key measures, supported by technological advances, cross-border payments could improve considerably in the coming years, building on the Roadmap's solid foundation. This Bulletin highlights the Roadmap's achievements, discusses key challenges hindering timely progress and outlines developments that could deliver substantial improvements for end users.

State of play: achievements and remaining challenges

The G20 Roadmap consists of a series of interlocking initiatives assigned to international bodies. Most initiatives take the form of guidelines, recommendations and standards. These measures alone cannot directly improve cross-border payments. However, with prompt and consistent implementation at the jurisdiction level, these measures should foster greater competition among private sector participants and

trigger necessary investments in systems, processes and technologies to enhance cross-border payment outcomes.

The Roadmap has evolved over time. At its launch, it was structured into 19 building blocks (CPMI (2020)). The building blocks included initiatives to improve existing payment systems, such as by harmonising messaging standards, as well as programmes to investigate new payment technologies and arrangements, such as multilateral platforms, global stablecoin arrangements and central bank digital currencies (CBDCs). The Roadmap's ultimate goal is to deliver tangible improvements for end users. To track progress, the G20 in 2021 endorsed a set of quantitative targets (Table 1). Drawing on foundational work done in the first two years, the G20 endorsed a revised Roadmap in 2023. This revision aimed to shift efforts from analysis to implementation by focusing on practical initiatives with the potential to achieve meaningful and timely progress. It also sought to strengthen public-private sector collaboration. The revised Roadmap featured 15 action items aligned with three priority themes: (i) payment system interoperability and extension; (ii) legal, regulatory and supervisory frameworks; and (iii) cross-border data exchange and message standards (FSB (2023)).

Overview of the G20 targets measured by a set of key performance indicators

Table 1

Area	Payment segment	Target (by end-2027, for remittance costs by end-2030)
Cost	Retail	Global average no more than 1%, no corridors with costs higher than 3%
	Remittances	Global average no more than 3% for USD 200 remittance, no corridors with costs higher than 5%
Speed	All payment segments	75% of transactions to be credited to the recipient within one hour upon initiation and the rest within one business day
Transparency	All payment segments	All payment service providers to provide a minimum defined list of information
Access	Wholesale	Minimum of one option per payment corridor for sending/receiving wholesale cross-border payments
	Retail	All end users have at least one option for sending or receiving cross-border electronic payments
	Remittances	More than 90% have access to electronic remittances

Source: FSB (2021).

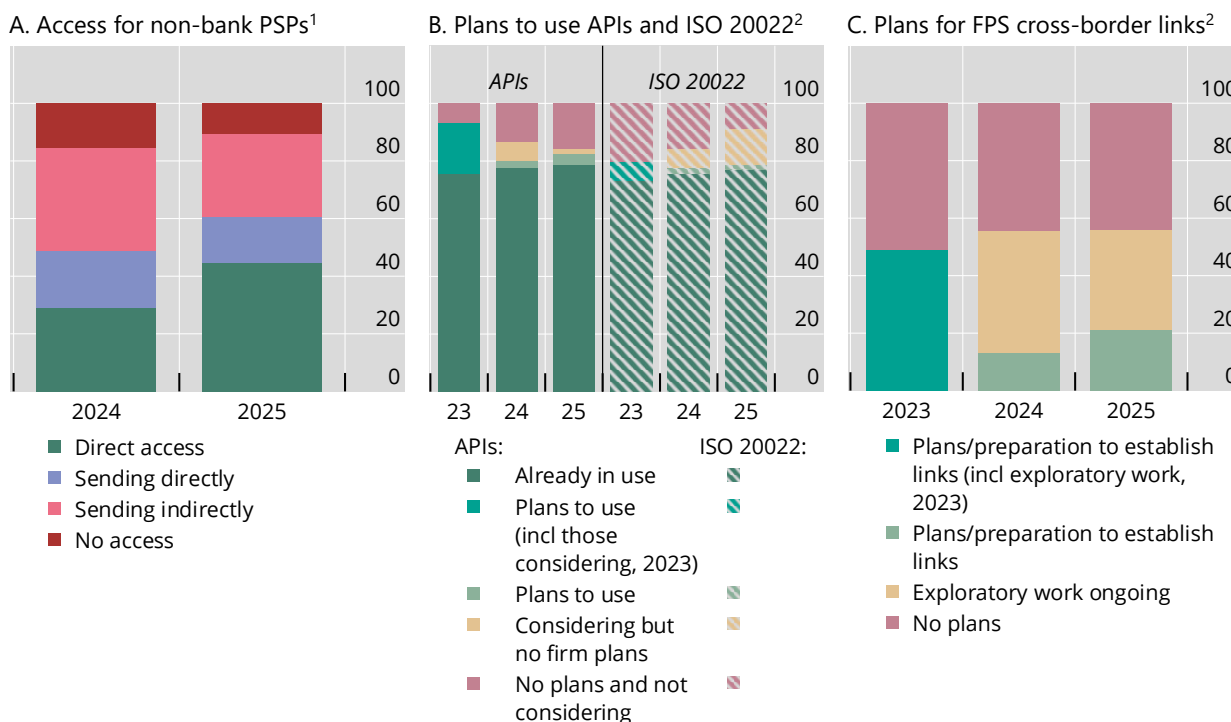
To date, international bodies have made considerable progress in delivering on their Roadmap commitments. Most of the 15 action items are now completed or nearing completion. Key outcomes include the development of international recommendations on payment system operating hours, ISO 20022 and application programming interface (API) harmonisation, and supervision of non-bank payment service providers (PSPs) and their access to payment systems. Additionally, the Financial Action Task Force has revised standards for cross-border payment instructions related to anti-money laundering and countering the financing of terrorism (AML/CFT).

The impact of these initiatives is starting to appear across various parts of the global payments ecosystem. Take fast payment systems (FPS) as an example. The number and use of such systems have grown rapidly in recent years, with more than 90 FPS in operation and over 20 more under development. Although most FPS currently process only domestic transactions, many are adopting key aspects of the Roadmap. For example, cross-country monitoring data indicate that FPS increasingly offer direct access to non-bank PSPs, fostering competition (Graph 1.A), and most use modern messaging formats such as ISO 20022 and technologies such as APIs (Graph 1.B). Recently, several jurisdictions have launched initiatives to interlink their domestic FPS. While in time these links could improve cross-border retail payments, few interlinking arrangements are currently in operation (Graph 1.C). In summary, it can take time for international policy initiatives to translate into outcomes, but tangible opportunities exist.

Developments in fast payment systems (FPS)

As a percentage of systems

Graph 1



The number of respondents varies (2023 and 2024: 45 FPS; 2025: 57 FPS (56 for Graph1.A)), which may affect comparability. PSP = payment service provider; API = application programming interface.

¹ Direct access = direct access with or without access to credit; sending directly = can send directly without settlement account; sending indirectly = can send indirectly without settlement account. ² For Graphs 1.B and 1.C, a new response category was introduced in 2024 to provide more detail on the status of the plans.

Sources: Fitzgerald et al (2024); CPML cross-border payments monitoring surveys, 2023–25; BIS.

Despite progress at the payment system level, improvements in end user outcomes have been modest. Since 2023, the Financial Stability Board (FSB) has published an annual assessment of global and regional progress for each target, although data gaps persist. The latest FSB progress report indicates that as of 2025, outcomes are below targets and have shown only modest improvements between 2023 and 2025 (Graph 2). For example, 35% of global cross-border retail payments and 55% of wholesale and remittance payments are credited within one hour of initiation, whereas the target is 75%. While the cost of both remittances and retail payments has decreased and retail payment transparency has improved slightly, their targets have not yet been met.

The slower-than-expected progress in improving end user outcomes reflects several factors. These include: (i) the complexity of payment platforms' structure and incentives; (ii) the ambitious nature of the global G20 targets and the short time frame assigned to achieve them; (iii) protracted and inconsistent jurisdictional implementation; (iv) inconsistent and intermittent private sector support; and (v) the emergence of a more complex geopolitical and technological landscape.

Payment platforms, even domestic ones, are inherently complex, as they must accommodate the distinct incentives and needs of both payers and payees (Rochet and Tirole (2003); Rice et al (2020) Claessens and Rice (forthcoming)). In some cases, dominant players generate powerful network effects, which can result in limited competition and high entry barriers. In others, emerging payment arrangements fail to scale. Domestically, public sector intervention often helps to address challenges and potential market failures. But these are greater for cross-border payments, as frictions at both ends of a corridor and differences in countries' institutions and governance structures make coordination more difficult.

With the benefit of hindsight, the six-year time horizon set for the G20 targets may have been an underestimation of the time required to design and implement the far-reaching adjustments to improve cross-border payments globally. While the challenges are not insurmountable and have in some cases been diminished through Roadmap initiatives, they take time to resolve, not least due to the large number of stakeholders and infrastructures involved.

G20 cross-border payments progress

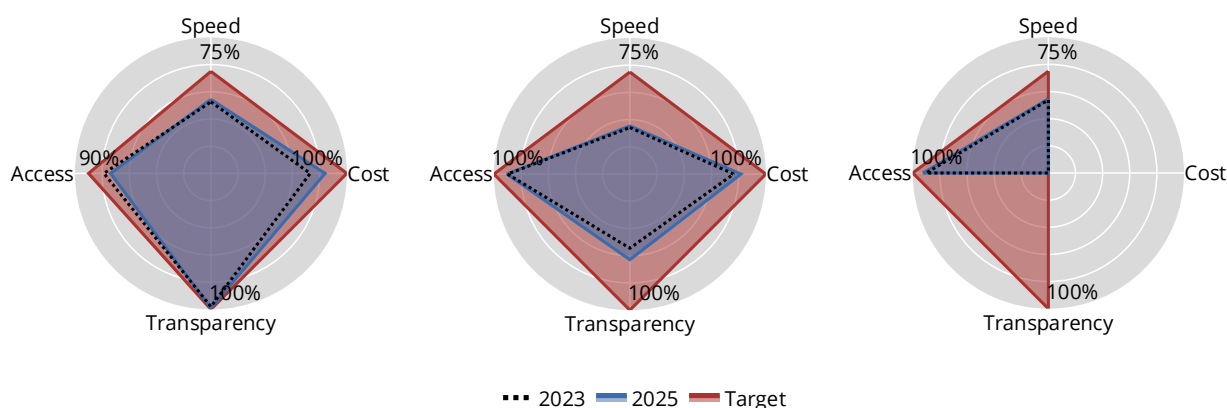
Stylised overview of progress as of 2023 and 2025

Graph 2

A. Remittances

B. Retail payments

C. Wholesale payments¹



A subset of the targets and key performance indicators (KPIs) has been selected. The red area represents the desired end state; the blue area reflects the status quo for 2025. Dotted lines present the status as of 2023. Based on existing KPI data for 2025, synthetic indicators have been calculated to visualise the status quo. Therefore, the KPIs shown in this graph are not always directly comparable with those in FSB (2025).

¹ The G20 targets do not include *wholesale payment costs*. No KPI for *wholesale payment transparency* has been published to date; hence, no data for *wholesale payment transparency* are shown in Graph 2.C.

Sources: FSB (2025); World Bank remittance prices worldwide (2025); authors' calculations.

The delivery of Roadmap initiatives by international bodies has not yet been matched by consistent and timely implementation at the jurisdiction level. Moreover, progress varies significantly around the globe, in part due to legal, regulatory and technological barriers to effective AML/CFT and financial integrity controls. Despite some gains in payments transparency, significant challenges remain in certain regions and segments. For example, adoption of recommendations on legal, regulatory and supervisory issues is still at an early stage. While jurisdictional implementation will increase with time, the lack of progress highlights challenges and inherent time lags in adopting international guidance in local contexts. Meanwhile, many private sector stakeholders' engagement with the Roadmap has also been less than hoped. Incumbents have often been slow to embrace changes that could diminish their market power and lower profit margins. The level of competition achieved through enhanced transparency and interoperability is lower than expected, reflecting the difficulty of aligning diverse interests and priorities.

Finally, a more complex geopolitical landscape has added to these challenges. Since 2020, shifts in international relations, trade realignments and diverging national priorities have shaped how jurisdictions engage in multilateral initiatives and adopt common standards. Greater focus on strategic autonomy and the prioritisation of specific instruments and technologies has further complicated efforts to strengthen the interoperability of payment systems. Technological advances that speed up cross-border transactions can inadvertently increase their use for fraud and illicit transactions, given the irrevocable nature and rapid movement of funds. This may result in stricter AML/CFT screening requirements and higher compliance costs for PSPs.

Way ahead: possible measures to support progress

The original motivations behind the Roadmap have not changed. Meanwhile, modest improvements in outcomes for end users warrant careful reflection on the way forward. Implementation lags suggest that the primary near-term focus should be on implementing current priorities at the jurisdiction level, rather than developing additional international policy, guidance or recommendations before the end-2027 target date. Central banks and other public authorities, in conjunction with the private sector, should continue to pursue practical measures to ensure timely and consistent implementation to accelerate improvements in outcomes. When doing so, they are encouraged to learn from and place greater attention on the factors that led to the slower-than-expected progress in improving end user outcomes.

The conditions to enhance cross-border payments vary greatly across jurisdictions and regions. This underscores the value of drawing lessons from jurisdictions that have made significant strides to improve outcomes in regions and corridors facing the largest challenges. Initiatives by public authorities can help to prioritise efforts to enhance cross-border payments through the development of a nationwide payment strategy, supported by international organisations where necessary. For example, the South African G20 Presidency and the BIS Committee on Payments and Market Infrastructures (CPMI) focused in 2025 on sub-Saharan Africa, a region where cross-border payment costs are particularly high. Similarly, the International Monetary Fund and World Bank provide targeted technical assistance to regions like the Southern African Development Community (SADC) and the Pacific islands. Initiatives such as the National Payments Corporation of India's FPS rollout in Namibia and Peru, interlinking projects in Southeast Asia and the launch of a TARGET Instant Payment Settlement (TIPS) replica in the Western Balkans offer valuable insights to address unique challenges and build on progress.

Fostering interoperability and standardisation between jurisdictions' payment systems is also a key priority. For existing systems, initiatives such as adopting harmonised versions of ISO 20022 and APIs as well as aligning operating hours through a "global settlement window" can strengthen interoperability and foster greater payments integration. Technical and operational compatibility of governance and oversight frameworks can facilitate the establishment of cross-border payment arrangements (CPMI (2024)).¹ For FPS or tokenised platform infrastructures, building interoperability into their design from the start can enable easier and more efficient interlinking in the future.

Mobilising the private sector is essential to achieving the G20's ambitions. Some private institutions have raised concerns about the modest pace of domestic regulatory reforms, while others have been cautious about implementing changes that may disrupt their business models. Constructive dialogue through forums such as the CPMI payments interoperability and extension (PIE) and the FSB legal, regulatory and supervisory (LRS) task forces can help public authorities to understand what measures they could take to facilitate private firms' faster adaptation of their services to provide better outcomes for end users. At the same time, mutual understanding and trust cultivated over time through such forums can help to motivate private sector participants to upgrade their service offerings, commit to greater transparency and adopt harmonised standards.

Rapid digitalisation and technological development have raised end user expectations of payment services. Engaging end users is critical to understanding their needs and motivating PSPs to enhance their offerings. Many jurisdictions have forums for end user engagement focused on domestic and regional payments. These could be expanded to address cross-border payments. International groups and task forces could include end user representatives to ensure that initiatives meet user needs.

Central banks and public sector stakeholders can lead by example. Jurisdictions could develop implementation plans to demonstrate commitment and accountability. They could also prioritise recommendations to reduce unnecessary regulatory frictions around access to payment infrastructure and the application of AML/CFT controls. Forums like the CPMI Community of Practice on Payment Systems

¹ Governance provides the processes through which an organisation sets its objectives, determines the means for achieving those objectives and monitors performance against those objectives (CPSS-IOSCO (2012)).

are engaging non-G20 central banks. International organisations, supported by development aid, can extend this momentum further.

New arrangements and technologies will play an increasingly prominent role in the evolving cross-border payments landscape (Illes et al (2025)). The interlinking of FPS offers significant potential: Nexus Global Payments, for example, originating from a BIS Innovation Hub (BISIH) project, plans to begin live operations by mid-2027. The adoption of technologies, such as tokenisation, has the potential to improve cross-border payments. These technologies, as explored in the BISIH Project Agorá, could drive new entrants into the cross-border payments market, fostering innovation and competition. Meanwhile, the well-managed application of artificial intelligence and other advanced statistical techniques could strengthen the safety and integrity of payments, while lowering compliance costs (Aldasoro et al (2025)).

Technology alone, however, cannot deliver improved cross-border payments. Technology cannot resolve challenges in areas such as governance across borders or the misalignment of incentives and efforts among a diverse range of stakeholders. Further, some technological solutions, while attractive to end users, may be less resilient or secure than established arrangements and could even pose a threat to monetary or financial stability. This suggests a rationale for public authorities to promote technological solutions within the context of a robust legal and regulatory framework, with sound governance and oversight (CPMI (2024)). As these innovations evolve, it will be critical to understand how new payment infrastructures interact with each other and with existing systems, as well as to assess their implications for the broader payments ecosystem and financial stability.

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